

Two categories of inequality

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There are two kinds of inequality, and confusing them is how the comfortable stay comfortable.

The first is **emergent inequality**: unequal outcomes that arise from fair-looking rules, with nobody intending them. Write rules that look perfectly fair, start everyone equal, run the system long enough, and you still get an oligarchy. Nobody cheats; the maths just favours someone. A fair coin-flip game where each player wagers a fraction of the *poorer* one's wealth ends with one person owning everything. Compound interest turns any gap, however small, into an exponential one. A child who reads slightly better at five gets more books, more praise, and by ten is years ahead. Networks reward whoever arrived first — links, citations, followers, all power laws. Queues signal quality and lengthen themselves. The same recession that inconveniences an investor destroys a worker. None of it is designed; all of it compounds.

- **Yard-sale model** — fair coin-flip bets, but the poorer player always risks more in real terms, so one player ends up with everything.
- **Multiplicative growth** — a 50% loss then a 50% gain leaves you down, so the typical fortune drifts to zero even as the average rises.
- **Pólya urn** — whichever colour is drawn first gets reinforced, locking in an outcome decided by the first few draws.
- **Preferential attachment** — new links attach to whoever already has the most, producing a handful of giant hubs.
- **Compound interest** — any gap, however small, grows exponentially at a fixed rate.
- **Matthew effect** — the child who reads slightly better at five gets more books and praise, and is years ahead by ten.
- **Assortative mating** — people partner within already-filtered pools, combining two incomes, networks and inheritances and passing them on.
- **Care work** — whoever does the unpaid caring falls behind economically, and the gap compounds across a lifetime.
- **Algorithmic feedback** — recommenders amplify what people like you already clicked, narrowing everyone into bubbles.
- **Postcode and passport** — where your parents lived sets your school, peers, safety and air, none of it chosen.
- **Network hiring** — most jobs come through personal connections, and your network is inherited.
- **Queues and bank runs** — people copy what others do, and the copying makes the original signal come true.
- **Gentrification** — rents rise slowly, then cross a line past which the original residents simply can't stay.
- **Language death** — a tongue survives until child speakers fall below the point where kids stop learning it.
- **Ecological collapse** — a fishery sustains a town for centuries, then crashes in a decade.
- **Asymmetric shocks** — the same recession, pandemic or drought lands softly on the rich and ruinously on the poor.

The second is **adversarial inequality**: unequal outcomes that specific, identifiable people create and defend because they profit from them. Here there are names, budgets, and lawyers — people who benefit from the gap and work to widen it. Landlords and patent trolls extract value they didn't make. Industries capture the regulators meant to constrain them and end up

writing the rules. Employers suppress wages with non-competes and union-busting. Commons get enclosed; public assets get privatised and rented back. Debt is structured so the borrower can't leave. Profit is kept and the harm exported — to poor neighbourhoods, to offshore factories, to the next generation. Over all of it sits narrative control: think tanks and owned media funded to insist the arrangement is natural, deserved, inevitable.

- **Rent-seeking** — collecting a cut without producing anything: landlords riding a neighbourhood's improvement, patent trolls, monopolists.
- **Land banking** — buying land and holding it empty while the community's work raises its value.
- **Academic publishing** — locking publicly funded research behind paywalls, paying neither the authors nor the reviewers.
- **Privatisation** — selling off assets built with public money, then charging rent to use them.
- **Regulatory capture** — the regulated industry quietly writing the rules meant to constrain it.
- **Lobbying asymmetry** — one side has paid professional advocates, the other has day jobs.
- **Gerrymandering** — drawing the boundaries so the result is fixed before anyone votes.
- **Tax avoidance** — the wealthy fund the lobbying that creates the loopholes only they can afford to use.
- **Shareholder primacy** — treating “maximise shareholder value” as a law of nature rather than a 1980s choice.
- **Wage and union suppression** — non-competes, union-busting and wage-fixing to keep pay down.
- **Criminalisation of poverty** — fining and jailing people for being poor rather than for any harm done.
- **NDA culture** — non-disclosure agreements used to bury harassment and unsafe conditions, not to protect secrets.
- **Enclosure of the commons** — privatising shared land, water, knowledge and seeds, then charging for access.
- **IP maximalism** — stretching copyright and patents long past the original innovation to keep the rents flowing.
- **Credential gatekeeping** — demanding degrees for jobs that don't need them, to filter by class.
- **Debt traps** — lending on terms designed to keep the borrower owing forever: payday loans, inescapable student debt.
- **Planned obsolescence** — building products to fail so the customer has to buy them again.
- **Algorithmic pricing** — charging each person the most their data suggests they'll pay.
- **Externalised harm** — keeping the profit and exporting the cost to poor areas, gig workers, or offshore.
- **Transfer pricing** — booking profits in tax havens where the company does no real business.
- **Austerity** — cutting public services to cover a deficit manufactured by tax cuts for the wealthy.
- **Manufactured consent** — funding the story that the arrangement is natural, deserved and inevitable.
- **Legacy engineering** — trust funds, legacy admissions and elite schooling to pass advantage down the generations.
- **Violence and threat** — force, when the subtler mechanisms aren't enough.

In the real world the two braid together. Emergent dynamics open the gap; whoever lands on top then spends the winnings keeping it open. The emergence may be blameless. The maintenance never is.

That distinction is the whole point, because it kills a particular excuse: *this is just what happens when free people get on with their lives, so nobody's to blame and there's not much to be done*. Half true, at best. Yes, much inequality arrives unintended — but a process can be innocent at the start and ugly at the end, and the sane response is to change the process, not to admire how cleverly it works. The other half is plainer once you're looking: rent-seekers, captured regulators, paid-for stories. They aren't accidents. They're load-bearing. They're how the structure stays upright.

The fix has one shape in both halves, even where the targets differ. Where the dynamics push the wrong way, build rules that push back. Where people have built machinery to stop you, confront and dismantle it. Neither is easy; neither is mysterious.

Inequality is a choice. It can be unchosen. The main thing keeping it in place is the belief that it can't be.